

TOP VC INVESTMENTS IN HR TECH START-UPS (2021-22 YTD)

Company	Sector	Investors	Amount (\$ mn)	Date
▶ Apna.co	Consumer app (Classifieds - Jobs - blue-collar)	GSV Ventures, Owl Ventures, rocketship.vc, Greenoaks Capital, Maverick Capital, Insight Venture Partners, Lightspeed Ventures, Tiger Global, Sequoia Capital India	100	Jun 2021
▶ Mindtickle	Enterprise Software (SaaS - HR - Training)	SoftBank Corp, Qualcomm Ventures, Norwest	100	Aug 2021
▶ Refyne	Enterprise Software (HR - Earned wage access)	QED Investors, XYZ Ventures, Jigsaw VC, DST Global, RTP Global, Tiger Global and others	82	Jan 2022
▶ Darwinbox	Enterprise Software (SaaS - HR)	JGDEV, Salesforce Ventures, 3ONE4 Capital, Endiya Partners, TCV, Lightspeed Ventures, Sequoia Capital India and others	72	Jan 2022
▶ HackerRank	Online Services (HR Services - Recruitment & Assessment Services - Software Programmers)	Randstad Innovation Fund, Susquehanna International Group, JMI Equity, Khosla Ventures and others	60	Mar 2022

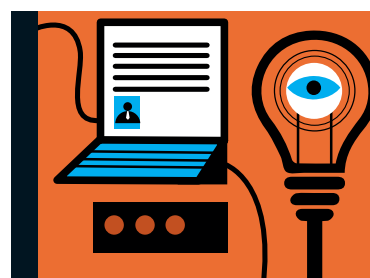
VC INVESTMENTS IN HR TECH START-UPS

NOTE *DATA AS OF APRIL 25, 2022

SOURCE VENTURE INTELLIGENCE

YEAR 2021
NO. OF DEALS
39
AMOUNT (\$ mn)
522

YEAR 2022 YTD*
NO. OF DEALS
16
AMOUNT (\$ mn)
387



| 87

have to do everything from scratch.”

Their challenges are that of any start-up, Das says. “Will a big enterprise customer really believe them?” pointing out that a user company could struggle if it takes a solution from a start-up that then goes bust. But Luthra disagrees: “That may be true only for HRMS, which forms the base of everything being integrated into it, but not for other niche offerings where we are spoilt for choice,” she adds, highlighting another challenge for start-ups—differentiating themselves among a growing pool of big and small players, and finding the right pricing fit. But the biggest question remains, how they help companies attract and retain talent—the top-most workforce-related concern for any organisation. The start-ups claim to automate mundane tasks to free up time for an HR professional to implement better people policies and processes and, in turn, become more attractive to employees. “I may need 15 variations for onboarding, which has so far been a standard process. One for an intern, a returning mother, a gig worker, fresher from a tech campus versus a management campus and so on,” says Ananthanarayan of Darwinbox.

While employee experience is certainly crucial for organisations, the legacy players and the start-ups have different takes on solving for it. “The journey of digitisation in HR is moving from point solutions to end-to-end experience with a core foundation and integrated talent management on top of that. It is not just adoption of tools but looking at the employee lifecycle within the company without any broken pieces,” says SAP’s Deodhar. BetterPlace’s Agarwala, on the other hand, says more niche-play start-ups will start coming up focussed on solving one specific problem, for a specific vertical like manufacturing or retail or a specific audience like blue-collar/white-collar workers. “Now, the generic approach of HR has changed to newer models.”

But as of now, there is enough space for everyone to play as organisations are transforming their people processes, experts say. “HR tech is definitely a growing segment and the start-ups are not going anywhere anytime soon because there is a lot of creativity in this. They will run parallel to the giants,” says Luthra. **BT**

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